

Planning for a Baby

Your home is not the biggest investment you'll ever make—your kids are. You probably won't use cost as a determining factor in whether you decide to raise a family, but you can still benefit financially from some advance planning.

Insurance Issues

The most immediate issue when you're thinking of adding a new member to your family is how much of the associated cost will be covered by your health insurance. Estimate how much you can expect to pay out of your own pocket, based on the coverage provided by your health insurance policy. If you're covered under an HMO, you'll probably have a copay for each doctor visit (usually \$10 to \$25) and a copay for the hospital admission for the delivery (usually a minimum of \$250 to \$500). Be sure your doctor and the hospital are in your HMO network or you could be faced with some very large medical bills.

If you have an indemnity plan instead of an HMO, you probably have a deductible (usually \$200 to \$1,000) that you have to pay out of your pocket before the insurance kicks in. After the deductible, a typical plan will pay 80 percent of all other allowed charges, and you'll pay 20 percent, up to a maximum out-of-pocket expense (usually \$1,000 to \$3,000). After you've satisfied the out-of-pocket maximum, the insurance will pay 100 percent of usual and customary charges. Sometimes charges are only partially paid by insurance because they exceed the usual and customary cost for that service or procedure in your area, but if you ask, doctors will sometimes write off the excess.

